

JPMorgan Chase & Co.

NYSE: JPM **Rating: Neutral / Hold** **Target: ~\$324** **Price: ~\$334**

At a glance

Rating	Neutral / Hold
Current price	~\$334 (24 Jun 2026)
Target (justified P/B)	~\$324
Implied return	~ (3%)
Market cap	~\$0.9 trillion
P/E (trailing)	~16.7x
P/B / P/TBV	~2.6x / ~3.1x
Dividend yield	~1.7%

Investment thesis

JPMorgan is the best-run large-cap bank in the world — diversified across consumer, corporate-and-investment banking and asset management, with industry-leading returns (FY2025 ROE ~17%, ROTCE ~20%) and a fortress balance sheet (CET1 ~14.6%). The franchise quality is not in question. The issue is price. **At ~16.7x trailing earnings and ~2.6x book, the market already capitalises that superiority, leaving little margin of safety.**

We initiate at Neutral / Hold. A single, bank-appropriate method — justified P/B versus ROE — produces a target of ~\$324, roughly 3% below the current ~\$334. We would turn more constructive on a pullback toward book-value support or on evidence that returns can sustainably exceed the high-teens.

- **Positive:** scale, a low-cost deposit base, top-tier capital return (dividend raised to ~\$1.65/qtr in 2026 plus a large buyback), and consistent through-cycle returns.
- **Watch:** net interest margin compression as rates normalise, a provision line rising toward mid-cycle, and a premium valuation that already reflects the good news.

Four years at a glance

\$ / per share	FY22	FY23	FY24	FY25
Diluted EPS (\$)	12.09	16.23	19.75	20.02
Book value/share (\$)	90.29	104.45	116.07	126.99
ROE	14%	17%	18%	17%
ROTCE	18%	21%	22%	20%
Efficiency ratio	59%	55%	52%	52%
CET1 ratio	13.2%	15.0%	15.7%	14.6%

Returns have stayed in a tight, high band (ROE ~14–18%, ROTCE ~18–22%) through a full rate cycle, while book value per share has compounded from ~\$90 to ~\$127. That consistency is the core of the bull case — and the reason the market is willing to pay a premium to book.

Why a bank is valued differently

A bank cannot be valued on enterprise value or a standard free-cash-flow DCF, because deposits are raw material, not financing. You value the equity directly. The cleanest anchor is the relationship **justified P/B = (ROE**

– **g**) / (cost of equity – **g**): a bank that earns a higher ROE than its cost of equity is worth more than book value. Using a ~17% normalised ROE, a ~9% cost of equity and ~4% long-term growth gives a justified multiple of ~2.5x book, or about \$324 per share on FY2025 book value.

Reality check: working the same equation backwards, today's ~2.6x price-to-book implies a sustained ROE of ~17.4% — essentially JPM's current return. In other words, the market is already paying for JPM to keep earning peak returns, which is precisely why the risk/reward looks balanced rather than cheap.

The conclusion is sensitive to two inputs — the cost of equity and the normalised ROE — so the model carries a sensitivity grid rather than a single point. **Net: a great bank at a fair-to-full price.**

Risks (both directions)

- **To the upside:** margins hold up better than feared, capital-markets activity stays strong, buybacks accelerate, and the premium multiple expands.
- **To the downside:** a credit cycle lifts provisions, deposit costs stay sticky as rates fall, regulation raises required capital, or the multiple de-rates from today's premium.

Sources & basis

JPMorgan FY2022 and FY2025 Annual Reports and quarterly earnings releases (income statement, per-share and capital data); market data as of ~24 Jun 2026. NII is on a managed basis. All assumptions are the author's own and illustrative. This is a self-directed analytical exercise, not investment advice, and contains no non-public information.